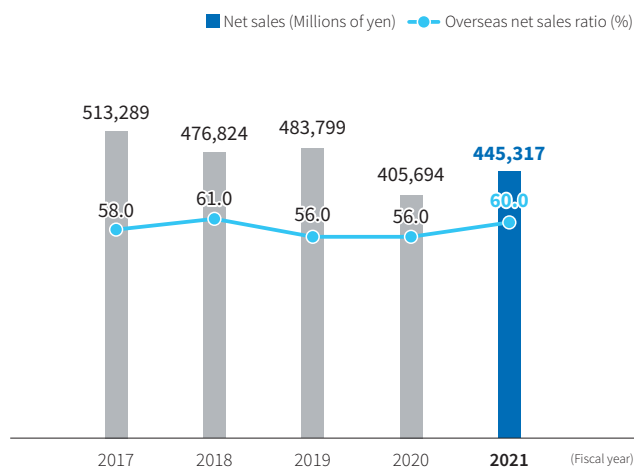
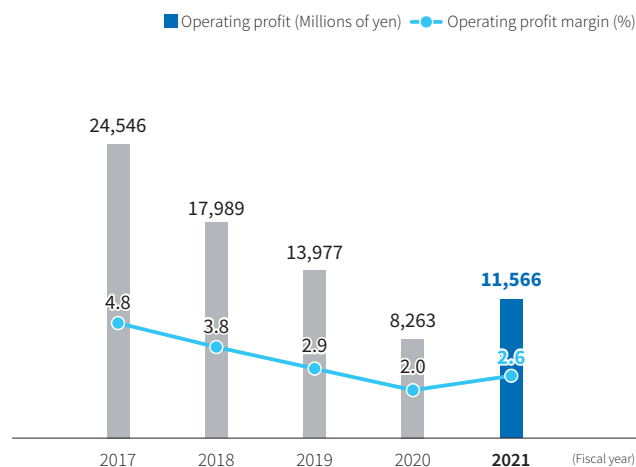


FINANCIAL HIGHLIGHTS (CONSOLIDATED)

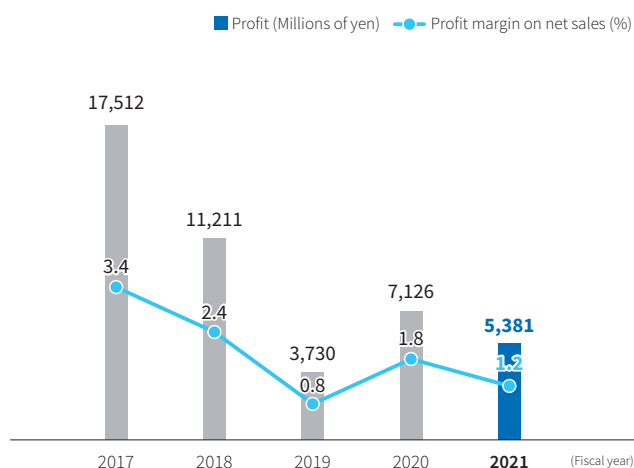
Net sales and overseas net sales ratio



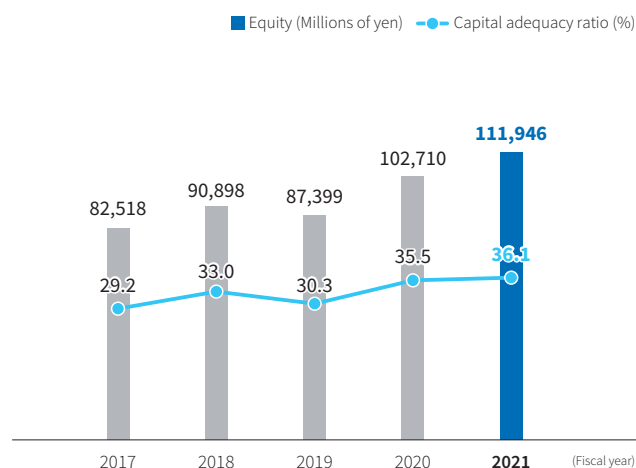
Operating profit and operating profit margin



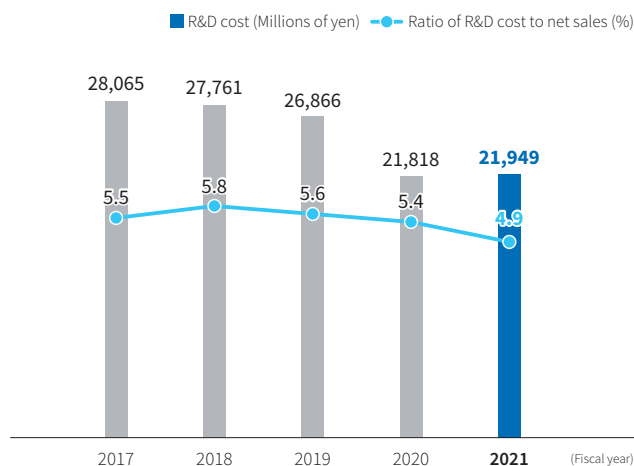
Profit and profit margin on net sales



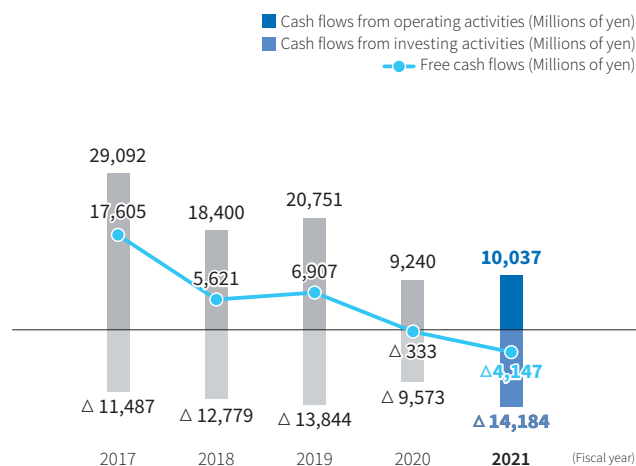
Equity and capital adequacy ratio



R&D cost and ratio of R&D cost to net sales



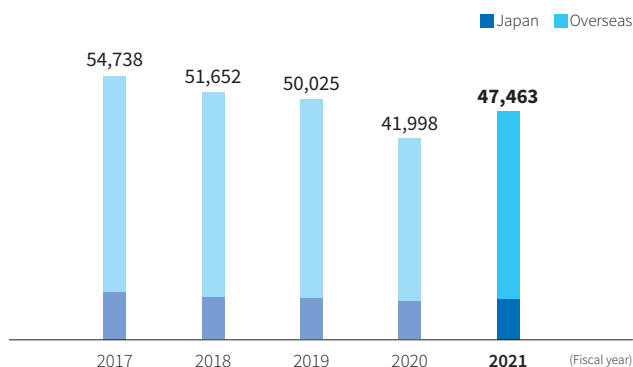
Cash Flows



NON-FINANCIAL HIGHLIGHTS (CONSOLIDATED)

CO₂ emissions at manufacturing sites*

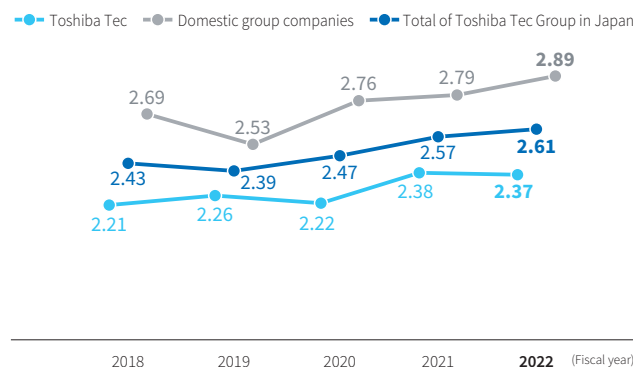
(t)



We continue to reduce CO₂ emissions through the systematic implementation of measures such as switching to LED lighting and upgrading to energy-saving equipment mainly at overseas sites by effectively using subsidies. Our multifaceted emission reduction initiatives also include the greening of rooftops and installation of solar panels.

Employment ratio of people with disabilities

(%)

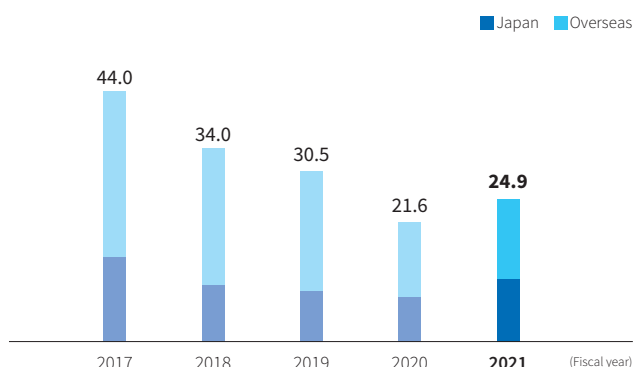


Toshiba Tec became eligible for the special exception for a business group for calculating the employment rate of persons with disabilities in April 2015, and Toshiba Tec Group's employment rate of persons with disabilities was 2.61% as of April 2022.

We are also actively promoting the employment of people with disabilities and activities to support them.

Emissions of chemical substances

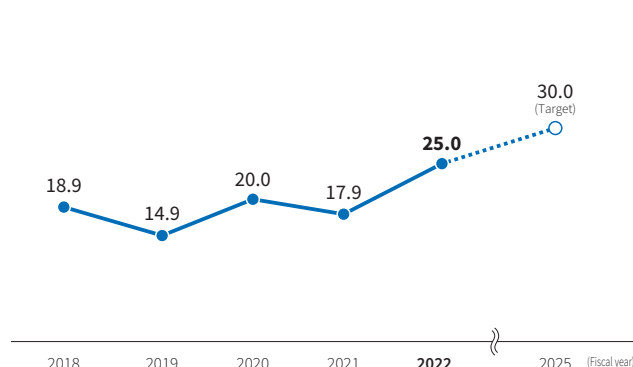
(t)



We strive to reduce emissions of chemical substances, which are classified into "reduction," into the atmosphere and water that directly affect the environment. We will continue to reduce emissions by introducing manufacturing equipment with low emissions of chemical substances and reviewing the processes.

Ratio of new female graduates employed

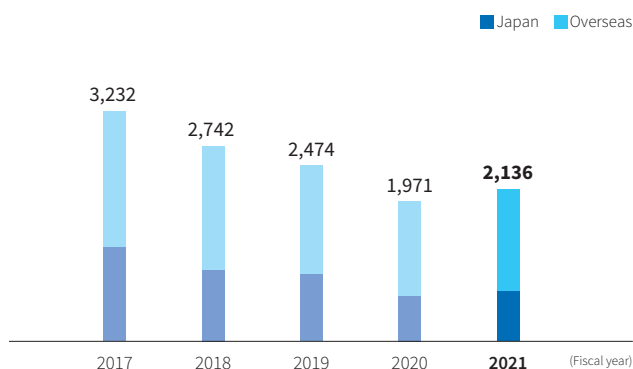
(%)



We achieved the target of 25% in the ratio of new female graduates employed in April 2022. With the next target of 30% in the ratio of new female graduates employed to be achieved in 2025, we have been holding a variety of events more than ever to showcase our initiatives for promoting the advancement of female employees and the successful examples of their performance.

Total volume of waste generated

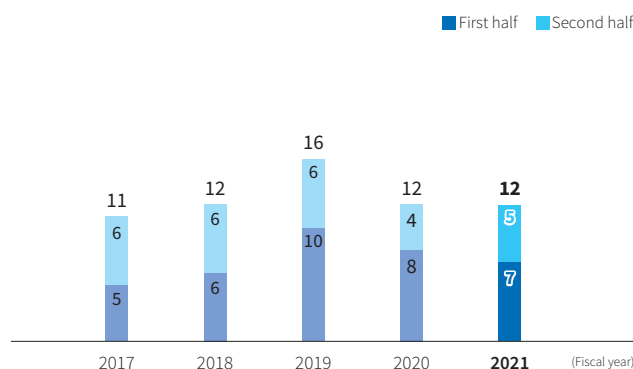
(t)



To efficiently use resources, we work on the reduction of the total volume of waste generated. We also visit recycling bases in Japan, directly assess the processing status, and are striving to improve communication with them to increase recycling rates. We will continue working on the efficient use of resources in the future.

Number of whistleblowing cases*

(Cases)



Toshiba Tec is striving to disseminate information regarding the whistleblowing system by continuously offering education on the topic using e-learning courses targeting all employees and displaying information regarding the contact site on the notice boards in the offices.

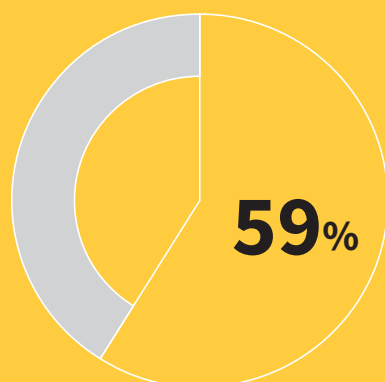
*The figures are the total number of cases received by the internal secretariat, law firm, and contact site at Toshiba Corporation.

*The CO₂ emission factor of domestic electricity was calculated using receiving end power data from the Electric Power Council for a Low Carbon Society, and the overseas CO₂ emissions factor was calculated using receiving end power of WRI/WBCSD GHG Protocol data in fiscal 2009.

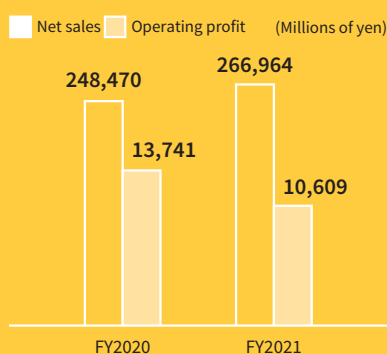
SEGMENT OVERVIEW

Retail Solutions Business

Net sales breakdown



Net sales and operating profit*



*Due to changes in segment categories, the figures for FY2020 differ from those that appeared in last year's Integrated Report.

Main business

Develops, manufactures, sells, and offers maintenance of POS systems for Japan and overseas markets, Auto-ID systems for the Japanese market, and related products. In Japan, Toshiba Tec and distributors sell the products under the TEC brand. Overseas, our local subsidiaries and distributors sell them mainly under the TOSHIBA brand. The products are also sold under the brands of our business partners.

The Retail Solutions Business Group handles POS systems for domestic and overseas markets, auto ID systems for domestic market, and related products. Amid a severe business environment in which the impact of the spread of COVID-19 and intensifying competition with peers continue, the business group has worked on various initiatives under the basic policy of "Aim at becoming a global top solutions partner in the distribution industry." These initiatives include concentrated investment in growth fields (data services, next generation stores, payment, and Supply Chain Management (SCM)), business expansion through strategic partnership, and the expansion of service business in overseas markets.

Sales of POS systems for domestic market rose as a result of efforts focused on expanding sales mainly of payment terminals, self-ordering systems, smart receipts by taking into account measures against COVID-19, amid a downturn in the investment appetite of retail and restaurant businesses.

Sales of POS systems for overseas markets increased as sales remained robust in each region.

Sales of auto ID systems for domestic market increased due to an increase in sales of barcode printers to specific customers.

As a result, net sales of the Retail Solutions Business Group were ¥266,964 million (up 7% year on year). Operating profit of the business group was ¥10,609 million (down 23% year on year) due in part to the impact of tight supply-demand balance of components despite the increase in net sales.



Environment

ENVIRONMENT

With everyone, we will strive for a future that looks after the environment.

We put concern for the environment as a priority in all our business activities so as to protect people's safety and health as well as the world's natural resources.



Toshiba Tec's Environmental Policy

Toshiba Tec Group formulated the Basic Policy for the Environment based on the corporate philosophy, "Create with You -Keeping our customers in mind all the time and everywhere-."

► Toshiba Tec Group's Basic Policy for the Environment

Toshiba Tec Group holds environmental initiatives to be one of its top priority tasks in corporate management, guided by the "Management Policy of the Toshiba Tec Group." We will strive to create enriched value and ensure harmony with the world for people around the globe now and in the future. Through our environmental management that aims to achieve a decarbonized society, a resource circulating society, and a society in harmony with nature, we, as a solution partner which solves problems at customer sites including retail stores and offices, will contribute to the realization of a sustainable society and the achievement of the SDGs, such as response to climate change, sustainable consumption and production, and turn on the promise of a new day.

Promoting environmental management harmonized with business operations

- Toshiba Tec Group assesses the impacts of its business activities and products and services on the environment (including biodiversity), sets environmental impact reduction targets, and implements environmental activities.
- Toshiba Tec Group continuously improves its environmental management through audits and activity reviews.
- Toshiba Tec Group complies with all laws and regulations, industry guidelines it has endorsed, and its own standards on the environment.
- Toshiba Tec Group further raises employees' environmental awareness, and the company as a whole makes efforts for environmental protection.
- Toshiba Tec Group operates globally and promotes environmental activities throughout the Group accordingly.

Reducing environmental impacts through business activities and offering environmentally-conscious products and services

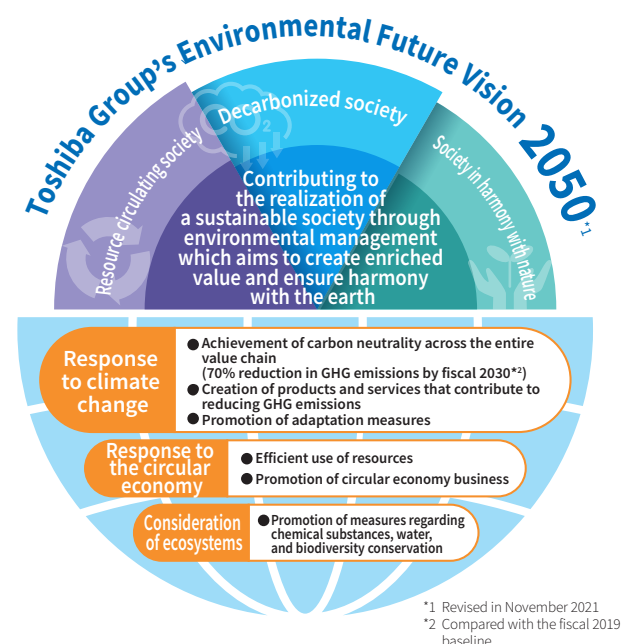
- Toshiba Tec Group recognizes that natural resources are finite, and it implements vigorous environmental measures to promote their effective, practical use in terms of both business activities as well as products and services.
- Toshiba Tec Group develops and provides environmentally-conscious products and services that contribute to reducing environmental impacts throughout their life cycle.
- In all phases of activities, including the design, procurement, manufacturing, logistics, sales, and disposal phases, Toshiba Tec Group implements measures to decrease environmental impacts, such as those for response to climate change, efficient use of resources, and management of chemical substances.
- Toshiba Tec Group considers what value and meaning it can provide to society and strives to develop environmental technologies for the future in order to contribute to realizing a sustainable society.

Working together with stakeholders

- Toshiba Tec Group actively communicates with stakeholders, such as local communities and society, and promotes environmental activities in collaboration with them.

Revised in April 2021

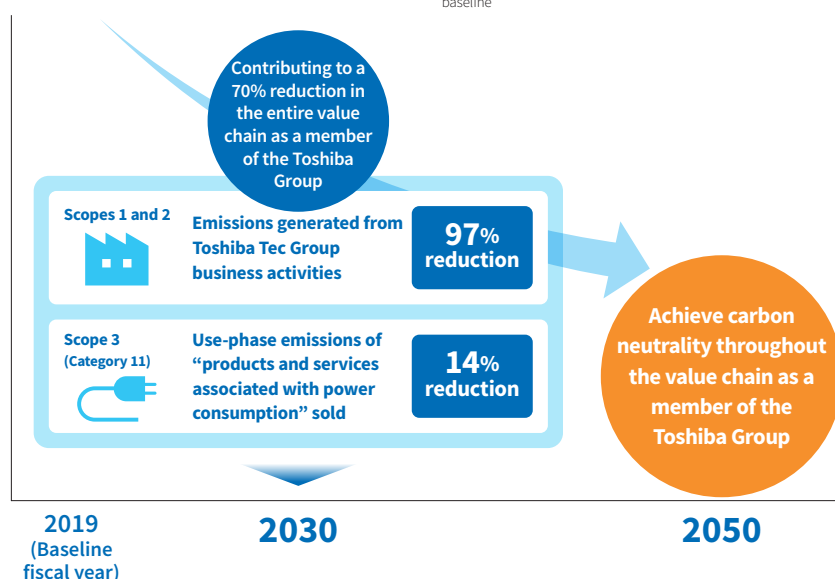
► Toshiba Group's Environmental Future Vision 2050



As a member of the Toshiba Group, Toshiba Tec Group has set Environmental Future Vision 2050. With the goal of “contributing to the realization of a sustainable society through environmental management which aims to create enriched value and ensure harmony with the earth,” Environmental Future Vision 2050 aims to realize a sustainable society—in other words, a decarbonized society, a resource-circulating society, and a society in harmony with nature.

To realize our vision in 2050, we will promote the implementation of initiatives in three areas, namely, “response to climate change,” “response to the circular economy,” and “consideration of ecosystems,” as important pillars of environmental management; strive to integrate business activities with environmental activities; and contribute to the realization of a sustainable society and the achievement of the SDGs, such as climate change mitigation and sustainable consumption and production.

Toshiba Tec Group considers response to climate change as one of its important management issues. We aim to achieve carbon neutrality across our entire value chain, in line with the social goal of achieving net zero GHG emissions by 2050. The following targets for fiscal 2030 have been set as a step toward achieving our goal, and we will advance efforts.



- Reduce the total of Scope 1^{*1} and Scope 2^{*2} (GHG emissions generated from Toshiba Tec Group’s own business activities) by 97% by FY2030.
- Reduce the total of Scope 2 by 100% by FY2030.
- Reduce use-phase GHG emissions of “products and services associated with power consumption”^{*3} sold in Scope 3^{*4} by 14% by FY2030.

^{*1} Direct GHG emissions via the use of fuel at Toshiba Tec

^{*2} Indirect GHG emissions via the use of power and heat purchased by Toshiba Tec

^{*3} Indirect GHG emissions other than Scopes 1 and 2 that arise from Toshiba Tec’s value chain (raw material procurement, logistics, sale, disposal, etc.)

^{*4} Retail and printing machines, etc.

► Acquisition of SBT Certification

For its targets for fiscal 2030^{*5}, Toshiba Group has acquired the Science Based Targets (SBT)^{*6} certification. Toshiba Group will aim to renew the certification in accordance with the new SBT criteria.

^{*5} Targets for fiscal 2030 set before the revision of the Environmental Future Vision 2050 (i.e. before November 2021)

^{*6} Science Based Targets are scientifically grounded GHG reduction targets set by companies on a medium- to long-term basis in order to restrain the global average temperature increase to well below 2 degrees Celsius above pre-industrial levels and to pursue efforts to limit the temperature increase even further to 1.5 degrees Celsius. The targets are certified by the SBT initiative.

Toshiba Group acquired the certification based on the targets for fiscal 2030 set before the revision of the Environmental Future Vision 2050 (before November 2021)



► Information Disclosure Based on the Task Force on Climate-related Financial Disclosures (TCFD) Recommendations

Toshiba Tec Group positions response to climate change as one of its important management issues and discloses information on climate change in the areas of governance, strategy, risk management, and metrics and targets specified by the TCFD.



Response to Climate Change (Information disclosure based on the TCFD recommendations)

<https://www.toshibatec.com/company/csr/environment/vision/climatic.html>

Promoting environmental management harmonized with business operations

► The Seventh Environmental Action Plan

Based on Toshiba Group's Environmental Future Vision 2050, Toshiba Tec Group has formulated the Seventh Environmental Action Plan, which consists of "response to climate change," "response to the circular economy," "consideration of ecosystems," and "enhancement of the basis of environmental management" and covers the period from FY2021 to FY2023. We set targets for each fiscal year and promote relevant activities. We achieved all targets for fiscal 2021.

Activity area	Activity content	Indicator	2021 Target	2022 Target	2023 Target	2021 Result
Response to climate change	Business activities	Reduction of total GHG emissions (thousand t-CO ₂)* ¹	52.0	42.4	35.9	48.6
		Improvement of total energy-derived CO ₂ emissions per unit (t-CO ₂ /100 million yen)	53.0	38.1	32.7	49.2
	Products & services	Contribution to GHG reduction during product use (thousand t-CO ₂)* ²	547	669	662	624
Response to the circular economy	Business activities	Reduction of waste volume (t)* ³	774	790	785	620
		Improvement of the volume of waste generated per unit (t/100 million yen)	1% improvement from the previous fiscal year			17% improvement
	Products & services	Increased amount of plastic resources recycled (t)* ⁴	474	502	488	499
		Increased amount of resources saved (thousand t)* ⁵	18.7	21.9	21.7	20.5
Consideration of ecosystems	Business activities	Reduction of the amount of chemicals discharged per unit (kg/100 million yen)	1% improvement from the previous fiscal year			3% improvement
	Products & services	Reduction of specified chemical substances contained in products	Management in compliance with legal regulations in each country			Implemented as planned
	Business activities	Improvement of the amount of water received per unit (m ³ /100 million yen)	1% improvement from the previous fiscal year			12% improvement
	Activities in line with the Post-2020 Global Biodiversity Framework	Initiatives at all manufacturing sites by setting five activity targets according to the new international goals				Implemented at all manufacturing sites
Enhancement of the basis of environmental management	Implementation of Global Environmental Action (GEA)	Initiatives at all manufacturing sites by setting a recommended activity theme for each fiscal year				Implemented at all manufacturing sites
	Environmental risk management and development of human resources in charge of the environment	Strengthening of environmental compliance systems at all sites by developing environmental auditors				1 auditor in Japan 3 auditors overseas

*1 For calculation of CO₂ emissions from electricity, emission factors provided by each electric power company are used

*2 Obtained by deducting total GHG emissions of shipped products during product lifetime from total GHG emissions of assumed substitute products during product lifetime

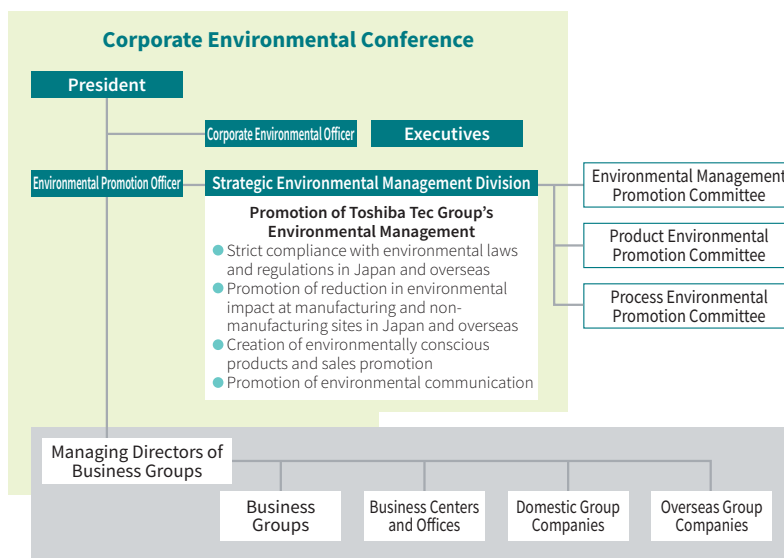
*3 Obtained by deducting the volume of valuable materials from the total volume of waste generated

*4 The amount of recycled plastics and bioplastics used (including packaging materials)

*5 Obtained by deducting total material input of shipped products from total material input of assumed substitute products

► Environmental Management Promotion Structure

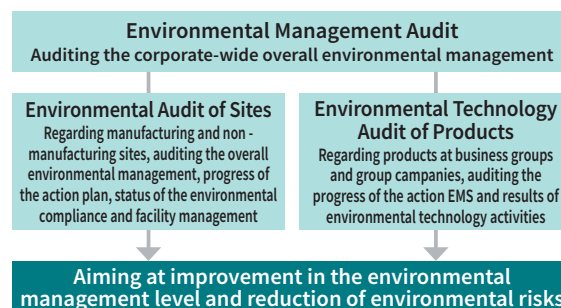
At Toshiba Tech Group, matters on climate change and other important environmental issues are reported from the Corporate Environmental Officer to the President at Management Committee meetings, if they are important and relevant to risks and opportunities that affect corporate management. Such matters are also reported to all directors including outside directors at Board of Directors meetings. What is deliberated and decided by the Board of Directors will be reflected in the Group's management strategy. Prior to the deliberation by the Board of Directors, policies, strategies, and measures related to the environment, including climate change, are discussed at the Corporate Environmental Conference chaired by the President (Environmental Management Promotion Officer). The conference takes place semiannually, with the participation of each business group's Environmental Management Officer, the Environmental Management Promotion Officer, the Corporate Staff Group Manager, and the Strategic Environmental Management Division.



► Environmental Audit

■ Toshiba Group's Comprehensive Environmental Audit System

Since fiscal 1993, we have been conducting environmental audits in accordance with the comprehensive Environmental Audit System established by Toshiba to improve environmental management. Based on this audit system, we conduct corporate-wide environmental management audits, environmental audits of manufacturing and non-manufacturing sites, and environmental technology audits of products at business groups on an annual basis. In fiscal 2021, self-audit and remote audit were introduced in response to the COVID-19 pandemic. In addition, we implemented training for all auditors to enhance the compliance system and develop human resources.

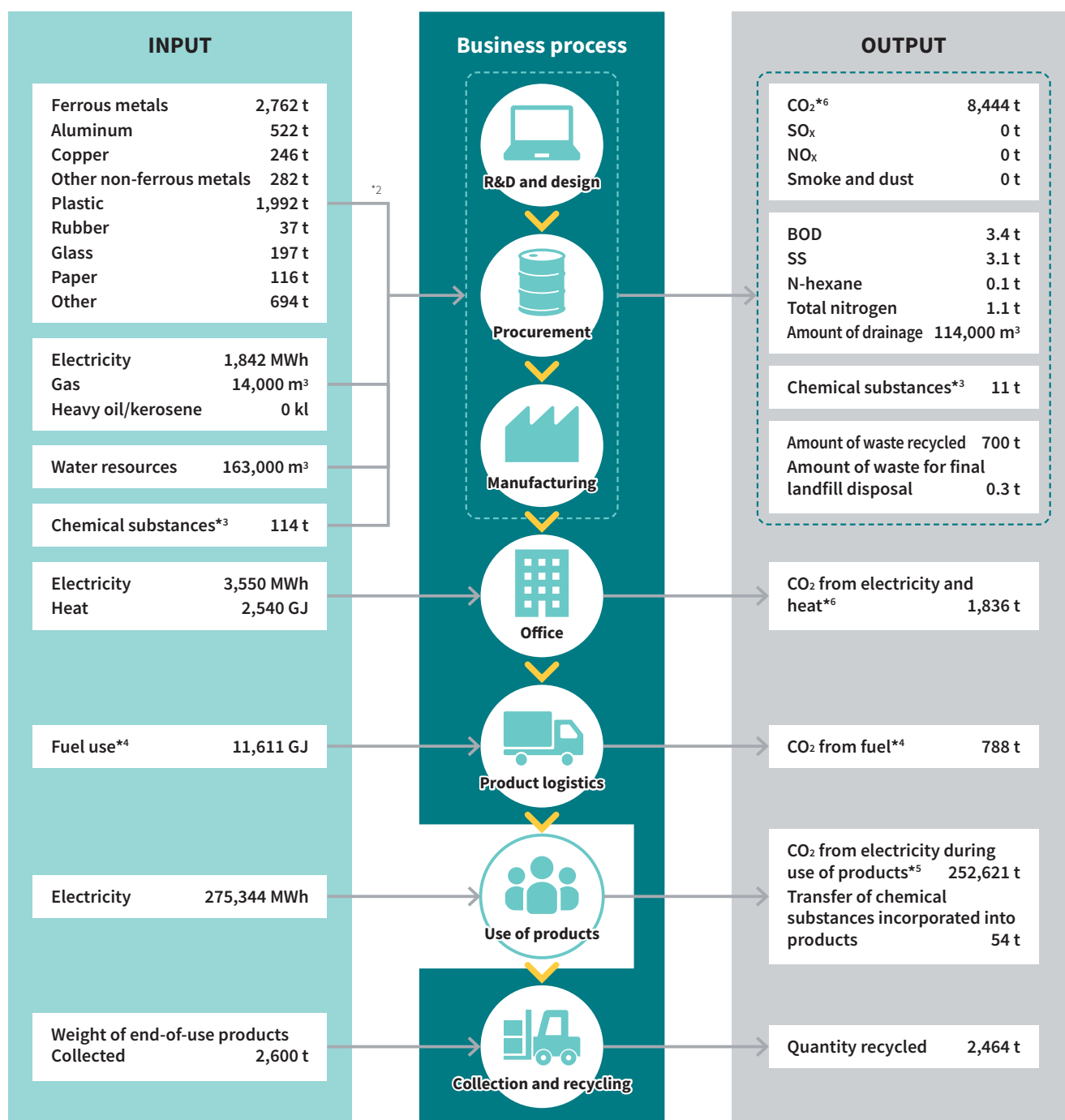


► Environmental Impact throughout the Life Cycle in Fiscal 2021

We reduce the environmental impact in our manufacturing processes and develop environmentally conscious products to understand, analyze, and reduce the impact at each stage of the product life cycle.

We procure raw materials and components from suppliers, and manufacture and ship our products. We transport finished products to distributors or warehouses via outsourced forwarding agents. Then, we collect end-of-use products from customers, wherever possible, for reuse and recycling. At the manufacturing stage, CO₂ emissions from total energy consumption at plants and offices were 8,444 tons and 1,836 tons respectively. Emissions of chemical substances into the atmosphere and water were 11 tons. The amount of waste recycled was 700 tons and the amount of waste landfilled was 0.3 tons. CO₂ emissions from major products shipped in fiscal 2021 throughout their product life is estimated to be 252,621 tons. We place the highest importance on curbing power consumption and CO₂ emissions, the two major sources of environmental impact throughout the life cycle of our products.

■ Environmental impact in fiscal 2021*1



*1 Target data tabulated: Toshiba Tec

*2 Inputs of materials and parts: Calculated based on material procurement data using the Toshiba Group's proprietary method

*3 Target chemical substances: 551 types specified by Toshiba

*4 Product logistics: All CO₂ emissions from outsourced transportation

*5 CO₂ during use of products: CO₂ emissions from major products shipped in fiscal 2021 throughout their product life

*6 CO₂ emission factor used for calculation is 5.31 t-CO₂/ten thousand kWh

► GHG Emissions in the Supply Chain

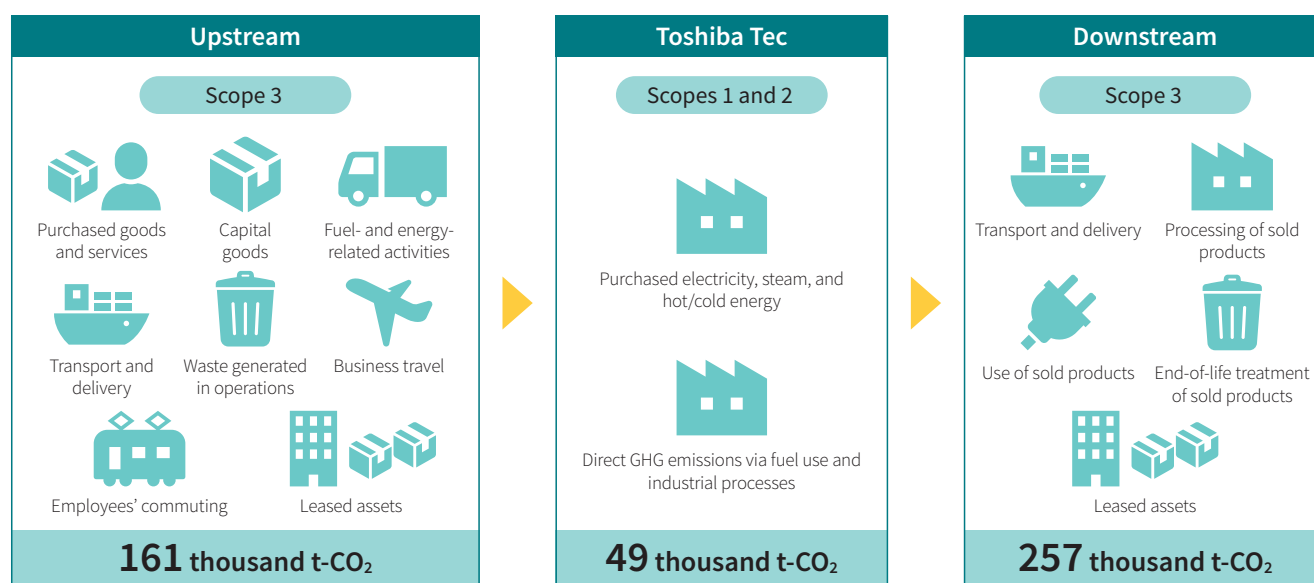
As climate change becomes an increasingly serious issue, companies must manage not only their own greenhouse gas (GHG)*1 emissions but also emissions generated across their entire value chain.

Based on the GHG Protocol*2, which provides international standards for calculating GHG emissions, and the Ministry of the Environment's Basic Guidelines for Calculating GHG Emissions throughout the value Chain, Toshiba Tec Group calculates indirect GHG emissions generated outside the scope of its own business activities (Scope 3) in addition to its own emissions (Scopes 1 and 2) in accordance with Toshiba Group's Policy.

Toshiba Tec Group will continue working effectively throughout product lifecycles by quantitatively analyzing emissions per category as described above.

*1 CO₂, CH₄, N₂O, HFCs, PFCs, SF₆, NF₃

*2 The Greenhouse Gas Protocol (GHG Protocol): Guidelines for calculating and reporting GHG emissions formulated by companies, NGOs, and government organizations around the world under the leadership of the World Resources Institute (WRI) and the World Business Council for Sustainable Development (WBCSD)



Classification	Category	FY2020 calculation results (thousand t-CO ₂)	FY2021 calculation results (thousand t-CO ₂)	Percent change in emissions	Remarks
Upstream	1 Purchased goods and services	98.6	102.3	104%	
	2 Capital goods	42.5	42.7	100%	
	3 Fuel- and energy-related activities not included in Scope 1 and 2	8.9	10.7	121%	
	4 Transport and delivery (upstream)	2.3	2.3	101%	
	5 Waste generated in operations	0.2	0.2	94%	
	6 Business travel	1.6	1.6	103%	
	7 Employees' commuting	1.0	0.8	75%	
	8 Leased assets (upstream)	—	—	—	This category does not apply to Toshiba Tec's business.
Toshiba Tec	9 Direct emissions (Scope 1)	3.0	3.1	101%	
	10 Indirect emissions associated with energy use (Scope 2)	48.8	45.5	93%	The figures include contribution based on environmental value certification.
Downstream	11 Transport and delivery (downstream)	—	—	—	This category does not apply to Toshiba Tec's business.
	12 Processing of sold products	—	—	—	This category does not apply to Toshiba Tec's business.
	13 Use of sold products	275.5	252.6	92%	
	14 End-of-life treatment of sold products	3.8	4.2	109%	
	15 Leased assets (downstream)	—	—	—	This category does not apply to Toshiba Tec's business.
	16 Franchising	—	—	—	This category does not apply to Toshiba Tec's business.
	17 Investment	—	—	—	This category does not apply to Toshiba Tec's business.
Total		486.3	466.1	96%	

Offering of Environmentally Conscious Products and Services

We pursue the creation of products with the highest environmental performance and reduce environmental impact throughout the life cycle of all products developed.

► Development of Products with the Highest Environmental Performance

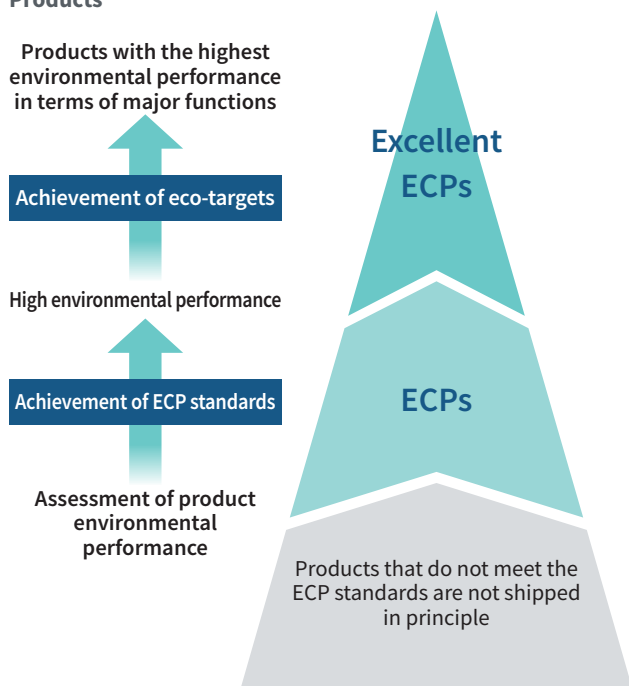
We pursue the highest level of environmental performance for all products developed, and advance activities aimed at reducing the environmental impact throughout the product life cycle. First, at stages of business strategy formulation and product planning, we set eco-targets for the products to be developed with technological and competitor trends in mind, which will result in the highest environmental performance at the time of their release. Then, at the stage of development and design, we conduct environmental assessments to make sure that products comply with laws and regulations and meet the ECP*1 standards in all three aspects (mitigation of climate change, efficient use of resources, and management of chemical substances) at each stage of the product life cycle.

At the stage of product approval, we check the level of achievement of eco-targets and compliance with the ECP standards, and then, certify those products with the highest environmental performance as Excellent ECPs.

With the growing demand for social infrastructure in every part of the world, there is concern that consumption of electricity and resources may swell. In order to reduce the environmental impact, we aim at creating and further increasing the number of Excellent ECPs with the highest environmental performance in the industry.

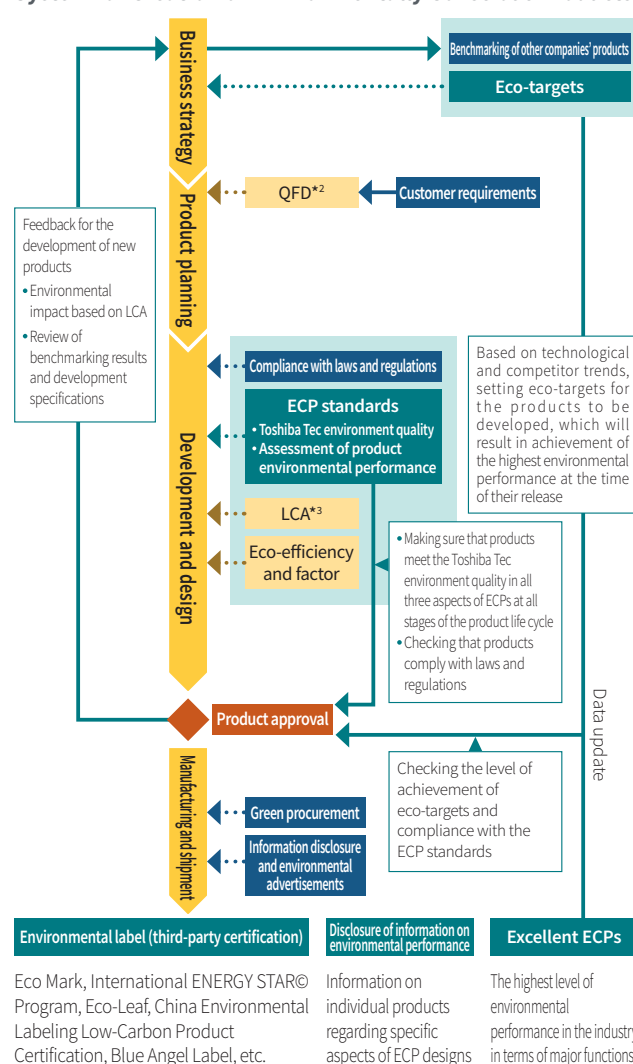
*1 Environmentally Conscious Products (ECPs) are designed to minimize the environmental impact at all the stages of the product life cycle from procurement of materials to manufacturing, distribution, usage, disposal, and recycling.

Basic Policy for Creation of Environmentally Conscious Products



Mitigation of climate change	Efficient use of resources	Management of Chemical Substances
- Reductions in power consumption - Reductions in standby electricity consumption - Visualization of power consumption - Energy-saving mode - Shipment mode, etc.	- Reductions in the use of raw materials - Use of recycled materials - Ease of disassembly - Reductions in the use of packaging materials - Reductions in the use of supplies - Upgrades, longer useful lives, etc.	- Reduction in the use of specific hazardous substances - Green procurement - Distribution of information on chemical substances - Compliance with chemical substance regulations in different countries, etc.

System for Creation of Environmentally Conscious Products



*2 QFD: Quality Function Deployment
*3 LCA: Life Cycle Assessment